

HEDGEYE DAILY DIGEST

Monday, August 31, 2026 (GMT+8)

Covering Hedgeye publications from Friday, August 28 and Thursday, August 27 (EDT)

Hedgeye closed out August with an unambiguously risk-on #Quad1 posture — but with the first genuine crack in the tape since the July drawdown. Friday's Early Look warned that accelerating growth, expanding liquidity and stable credit still justify adding beta, even as AI-narrative excess piles up unexamined. The tactical wrinkle: Keith McCullough flagged the first lower high in the SPX Risk Range Signal at 7,788 — most likely consolidation given the Quad setup, but the probability of something worse just went up. The positioning message is rotation, not blanket exposure: Software over Semiconductors, Precious Metals and Copper Miners as core longs, Healthcare on dips, short Dollar, short Tesla. August's #Quad3 hands off to #Quad1 in September.

Hedgeye does not publish over the weekend. "Today" below covers Friday, August 28 (plus Sunday's ETF Pro Plus weekly report); "Yesterday" covers Thursday, August 27.

TODAY'S PUBLICATIONS

EARLY LOOK — "The Golden Age of Snake Oil #Quad1"

R. Patrick Kent, Portfolio Manager, Hedgeye Asset Management · 08/28/26 07:40 AM EDT

Kent frames the current AI cycle through the original snake-oil story: 19th-century Chinese water-snake oil genuinely relieved arthritis, but hucksters substituted rattlesnake, mineral oil, beef fat and turpentine while inflating the claims. His stance is explicit — **"I am not an AI skeptic. I am an AI claim skeptic."** The technology produces real results; the problem is that claims expand to fill the ambition of the seller.

The evidence from the prior few days: **Anthropic** told investors its TAM was **\$30 trillion** — the economic value of all cognitive labor, roughly US GDP, and conveniently larger than the **\$28.5 trillion SpaceX** claimed in May (itself billed as "the largest actionable TAM in human history"). Kent's read: that isn't market analysis, it's a denominator chosen to make a valuation look manageable. **Tesla** quietly told certified installers that **solar roof tiles** are no longer available after concluding the product wasn't economically viable. And **Leopold Aschenbrenner** of Situational Awareness reportedly told investors he planned to save now so he could buy galaxies later.

On the macro grind: **NVDA** beat on revenue Wednesday with aggressive next-fiscal-year guidance, while quietly disclosing another **\$105 billion financial guarantee** backing **OpenAI's** lease obligations — on top of the **~\$800 billion** of such arrangements across the AI supply chain flagged by the **Bank for International Settlements**.

The critical framing: **all of this works fine in Quad 1**, when growth accelerates and liquidity expands and nobody asks about the ingredient list. It becomes a serious problem in **Quad 3 or Quad 4** — as it did in **#Quad4 July**. Right now the dollar decline is accelerating global dollar liquidity; **S&P, Russell and Nasdaq volatility are all in the Investable Bucket**; Hedgeye is **bearish USD, bullish Gold, bullish Software**; Keith holds **QTUM** in ETF Pro (quantum computing being the poster child of Quad1 — high momentum, max beta, retail favorite, money-losing tech). Credit is stable. Markets are coming off **one of the biggest earnings accelerations of the last 20 years**. It is, as Kent puts it, the **#Dollylocks** — for now.

The cautionary tale: the transcontinental railroad was one of history's most transformative buildouts, and its original investors were largely wiped out. **By end-1894, one-third of all US railroad mileage had passed through receivership.**

Investment implication: Stay long beta and Signal-compliant #Quad1 exposures, but treat leverage, vendor guarantees and stretched narratives as latent risk that only matters when the Quad turns.

Risk Range™ Signals — 08/28/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.60 – 4.76	Bullish
High Yield (HYG)	79.54 – 80.01	Bullish
Investment Grade Corp Bond ETF (LQD)	105.6 – 107.0	Bearish
S&P 500 (SPX)	7620 – 7788	Bullish
NASDAQ Composite (COMPQ)	25814 – 26750	Bullish
Russell 2000 (RUT)	2971 – 3053	Bullish
Health Care SPDR (XLV)	168 – 179	Bullish
S&P 500 Equal Weight (RSP)	219.00 – 225.00	Bullish
Tech-Software ETF (IGV)	103.00 – 112.00	Bullish
Shanghai Composite (SSEC)	3836 – 3990	Neutral
Nikkei 225 (NIKK)	64101 – 68722	Bullish
German DAX (DAX)	25966 – 26593	Bullish
Volatility Index (VIX)	14.26 – 16.47	Bearish
U.S. Dollar Index (USD)	98.50 – 99.66	Bearish
WTI Crude Oil (WTIC)	81.01 – 87.91	Neutral
Natural Gas (NATGAS)	2.71 – 2.95	Neutral
Gold Spot (GOLD)	4399 – 4763	Bullish
Copper Spot (COPPER)	6.47 – 6.75	Bullish
Silver Spot (SILVER)	66 – 72	Bullish

KM'S TOP 3 THINGS — Semis / Software / Silver

Keith McCullough · 08/28/26 07:16 AM EDT

McCullough opened with the line that framed the whole day: **"1st lower-high in my SPX Risk Range Signal today #PayAttention..."**

SEMIS. After what he called the biggest single-stock market-impact day ever, **NVDA delivered a +33% positive impact on SPY's +0.7% return**, breaking out back to **bullish TRADE and TREND** with an **Alpha Code of 217/208**. But **Dr. KOSPI failed** Hedgeye TRADE momentum of **6814** (TREND at **7211** untested) and remains in **Crash Mode, -26% from its #MOAB peaks**. **SNDK broke TREND**; **MRVL** was set to test TREND on the open.

SOFTWARE. His anti-b-school framing: if it's a growth stock and it's not "expensive," I don't like it. The **"Expensive Software" factor** led gainers with a **+7.6% day** and a **+39.3% trailing three-month return**, squeezing valuation bears. By contrast **"GARP Software" rose +5.0%** on the day but is only **+14.2%** over three months. Hedgeye went long software in **May**.

SILVER. With the High Beta Momentum basket upside down since its **May/June** peak, new momentum is emerging elsewhere. **SLV +1.8%** on the day takes its **1-month momentum to +22%**, leading all precious-metals gainers. The Mo Monkeys aren't yet in **Gold, Silver, Copper Miners (ICOP)** — but they're coming.

Immediate-term ranges: SPX 7620-7788; UST 10yr 4.60-4.76%.

MOMO TRACKER — Mag7 (+1.5%), SNDK = BEARISH, NVDA (+8.7%) = 33% SPX Impact, KOSPI Fail, TRR = Lower High

Christian Drake & Ryan Ricci · 08/28/26 08:10 AM EDT

The momentum dashboard reinforced the Early Look and Top 3. **Mag7 +1.5%** on the session. **NVDA +8.7%**, contributing **33% of the S&P 500's move** — the dominant single-name impact. **SNDK flipped to BEARISH**. **KOSPI failed** its momentum test. And the headline signal: **TRR = Lower High**, the same first-lower-high observation McCullough flagged in the SPX Risk Range. The body of the tracker is a chart dashboard rather than prose; the callouts in the title carry the signal.

MACRO SHOW SUMMARY NOTES — Friday, August 28

The Macro Show · 08/28/26 10:25 AM EDT

Positions mentioned — Bullish: Software (IGV), Silver (SLV), Gold, Copper Miners (ICOP), Healthcare (XLV), Canadian Dollar, Euro, Spain (EWP), New Zealand (ENZL), Colombia (COLO), Nvidia (NVDA). **Bearish:** Tesla (TSLA), U.S. Dollar, South Korea (KOSPI), SanDisk (SNDK).

Semis. NVIDIA's move — the largest single-stock one-day contribution to the market ever, **~33% of the SPX's +0.7%** — does not change the macro position. Keith was explicit: **"we are not long semiconductors in the macro book."** South Korea faded the move overnight, **KOSPI ~26% below its prior peak; SNDK broke TREND; MRVL lost TRADE momentum.**

Software. Bullish TRADE and TREND, long since **May**. **Expensive Software +7.6%** on the day and **~39%** over three months vs **~14%** for GARP software. Daryl Jones noted his cheaper software names badly lagged — the leadership is specifically in high-valuation names.

Precious metals. Silver bought on the recent pullback rather than chased at the top of the range. Keith is long two of the three metals discussed and would buy **Platinum** on pullbacks. **Silver 1-month momentum ~+22%**. Gold making higher highs; **Copper at all-time highs**; long copper miners via **ICOP**.

High-beta momentum breaking down. The hedge-fund community was long semis / short software through June — that combination reversed sharply. Critically, **high-beta momentum fell even on NVDA's huge day**, evidence the old leadership basket is impaired rather than recovering.

The SPX lower high. Keith called **7,788** the most important number of the morning — the first lower high after a run of higher highs. Two readings: the start of larger deterioration, or simple consolidation. Given the Quad setup he favors consolidation, but **the probability of a more meaningful reversal has increased**. Nasdaq is also making lower highs; if **NazVol moves above 22**, Thursday's inclusion of Nasdaq volatility in the Investable Bucket should be disregarded. **Positive dealer gamma** reinforces a range-bound setup.

Healthcare & international. Healthcare remains a favored alpha exposure, having hit an all-time high before correcting. **Japan bullish TREND, China neutral**. Pullbacks in **New Zealand** (post-all-time-high) and **Colombia** are buying opportunities.

FX — new position. Keith **got long the Canadian Dollar** this week and intends to keep buying weakness. Long **Euro** reiterated. **New position: Spain** — moving from "I like it" to "I own it."

Natural Gas. Improved from **bearish TREND to neutral** after a higher low and bullish TRADE breakout. Henry Hub needs to hold **above ~3.02** for bullish TREND. Keith is waiting for that confirmation rather than

pre-positioning, citing NatGas's history of failing at TREND with large subsequent declines.

Macro regime. August = Quad 3; September = Quad 1. Q3 GDP is running ~3.5-4%, and **485 S&P 500 companies have reported earnings acceleration of ~52%.** But the forward setup differs materially: Keith expects **GDP growth to slow substantially and inflation to fall sharply**, which is the core driver of the coming Quad transition — and which he expects to force **four to eight Fed cuts next year.**

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Robert McGroarty, Andrew Nanai, David Salem · 08/28/26 08:34 AM EDT

No new Model Portfolio changes were published Friday. The most recent changes went into effect using closing prices on **Wednesday, August 19th, 2026**, with the prior change sets dated **8/14** and **8/10**. **Trend and Tail Levels for the 68 ETFs** were last refreshed using **July 31st** closing prices, on the team's standard 3-4 week update cycle. The **August 2026 Monthly Commentary** was posted **August 5th**, and the latest **Key Callouts video** was recorded **August 6th**.

ETF PRO PLUS — 7 New Changes

ETF Pro Plus · 08/28/26 01:21 PM EDT

Adding Long: Biotech (XBI), Physical Uranium (SRUUF), US Cannabis (MSOS).

Removing Short: US Dollar Bullish (UUP) — 27.42-28.33.

Removing Long: Japanese Yen (FXF) — 57.02-58.24; Quantum Tech (QTUM) — 145.0-163.0; US Extended Market (VXF) — 241.0-253.0.

Notable: **QTUM** was removed from the long book the same day the Early Look cited it as the archetypal #Quad1 exposure — a reminder that the Signal, not the narrative, governs the book. The **UUP** short cover is a tactical adjustment inside an unchanged structurally bearish-Dollar view.

SIGNAL STRENGTH STOCKS — 79 Stocks (2 Added, 6 Removed)

Signal Strength Stocks · 08/28/26 02:09 PM EDT

Added: NVDA, EL. Removed: WSM, HLT, MRVL, CFG, PYPL, AWI.

The list contracted from **83 to 79** names. **NVDA** entering on its TRADE/TREND breakout while **MRVL** exits captures the semiconductor bifurcation exactly — one name breaking out, the rest of the complex breaking down.

ETF PRO PLUS — New Weekly Report

ETF Pro Plus · 08/30/26 04:24 PM EDT

The Sunday weekly refresh (prices through **8/30/2026**) carried ~**28 bullish** and **11 bearish** positions. Recent bullish additions cluster in the reflation and defensive-income themes: **Biotech (XBI, \$162.38)**, **Physical Uranium (SRUUF, \$20.35)**, **US Cannabis (MSOS, \$4.99)** all added 8/28; **Spain (EWP, \$62.35)** added 8/27; **Canadian Dollar (FXC, \$70.37)** added 8/26; **Silver (SLV, \$60.02)** and **Oil Services (OIH, \$418.31)** added 8/25. The bearish side is dominated by **duration and rate-sensitives** — **Long Treasury (TLT, \$82.88)**, **US Treasury Long (ZROZ, \$59.28)**, **US Corporate Bonds (LQD, \$106.35)**, **Utilities (XLU, \$42.73)** — plus **Future Vehicles (CARZ, \$105.76)** and **META Option Income (FBY, \$8.30)**.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — "Claude Says #Quad1"

Keith McCullough · 08/27/26 07:54 AM EDT

What: McCullough's Early Look, built around Claude Shannon's information theory — **"Noise is interference"** — as the organizing metaphor for signal-driven investing.

Why: Every algo headline, human narrative and post-move consensus view is noise. The Signals extract information from that interference before the market opens. Applied to the **NVDA** print: implied volatility had ramped to a **+10% premium** vs 30-day realized; price had taken a quick **-8% drawdown** testing **TREND support at \$207**; and the Risk Range showed **+11% of immediate-term upside from \$208**. His pre-stated rule: if NVDA holds \$207 TREND and breaks out to bullish TRADE at \$218, buy NVDA and select Semis with a \$218 stop. Refreshed NVDA Risk Range: **\$207-230**.

Who: NVDA; software longs **CRWD, OKTA, SNOW, PANW**. Keith was long **CRWD** in Real-Time Alerts and long **OKTA** via Signal Strength Stocks since **May 26, 2026** (entry **\$95.20**), adding **SNOW** and **PANW** the same day — after being **short Software from Q4 2025 through the Q2 2026 lows**.

Key numbers: NVDA **\$207 TREND / \$218 TRADE** trigger / **\$207-230** range; SPX **7610-7801**; UST10Y **4.61-4.74%**; IGV **100.00-106.00**; USD **98.30-99.79** (bearish); Gold **4389-4751**; Silver **65-72**; VIX **14.07-16.37**.

Takeaway: A DCF tells you what something is worth in a vacuum; the fractal tells you what the pattern is becoming across TRADE, TREND and TAIL simultaneously. **Buy the dips in Signal-compliant #Quad1 tickers** and ignore the interference.

MACRO SHOW SUMMARY NOTES — Thursday, August 27

The Macro Show · 08/27/26 10:36 AM EDT

What: The day NVDA's breakout confirmed and Nasdaq joined the Investable Bucket.

Why: NVDA held **\$207 TREND** and broke above **\$218 TRADE**, putting the **~\$230** top of the range in play. More importantly, the move drove **NASDAQ volatility (VXN) below 22**, placing NASDAQ in the **Investable Bucket** alongside the **S&P 500** and **Russell 2000** — creating room for the tech rally to broaden rather than stay concentrated.

Who: Bullish — **NVDA, MSFT, OKTA, CRWD, SNOW, PANW, DT, IGV, XLV, AAAU, SLV, Platinum, ICOP, EUR, JPY, CAD**. Bearish — **TSLA, XLU**.

Key numbers: NVDA **\$207 / \$218 / ~\$230**; **VXN below 22**; **OKTA** bought **5/26**; Gold added into the prior close after a **~1.5%** decline.

Takeaway on positioning: Software preferred over semis despite the improving semi setup. Healthcare weakness explicitly a chance to **"buy more health care."** Utilities bounce is an opportunity to **short**, not chase. **Tesla short reiterated** — Keith dismissed the Tesla/SpaceX combination thesis, arguing a Tesla acquisition of SpaceX could itself be negative, and that the signal is bearish regardless of narrative. **China moved back to bullish TRADE**. **South Korea** moved to bullish medium-term TRADE holding above **67.99/68** — but Keith rejected buying it: the **Bank of Korea is tightening into a coming slowdown**, and the forward Quad path returns Korea toward Quad 4; the signal means "don't short it," and failure to establish bullish TREND puts it **at the top of the short list**. **Philippines broke TREND and the entire position was sold**. New **CAD** long added on weakness — now long **CAD, JPY and EUR**, with CAD closest to the low end of its range. **Bitcoin remains bullish TRADE and TREND**. Portfolio discipline: rotate capital out of extended winners into better entry points, accept small stop-outs, let winners run.

ETF PRO PLUS — 3 New Changes

ETF Pro Plus · 08/27/26 10:39 AM EDT

What: Adding Long: Spain (EWP). Adding Short: Future Vehicles (CARZ). Removing Long: Interest Rate Hedge (PFI).

Why: Spain converts Keith's stated preference into an actual position. The **CARZ** short pairs cleanly with the standing **Tesla** short. Removing **PFI** is consistent with the view that rates and inflation decelerate into the coming Quad transition.

Takeaway: European equity exposure broadening; EV/auto complex added to the short book.

SIGNAL STRENGTH STOCKS — 83 Stocks (2 Added, 3 Removed)

Signal Strength Stocks · 08/27/26 01:39 PM EDT

Added: GSL, BBY. **Removed:** SPHR, HQY, PCAR.

Takeaway: The list shrank from **84** to **83** on Thursday and again to **79** on Friday — net breadth in the quantamental screen has been narrowing across the week even as headline indices held up.

FROM THE DESK — BONUS CONTENT: Macro Q&A With Keith

From The Desk · 08/28/26 05:00 PM EDT

What: In place of the usual **Macro Week Summary Notes**, Hedgeye distributed Keith McCullough's **Monthly Macro Pro Q&A** with subscribers from earlier in the week — covering macro, markets, positioning and portfolio strategy with direct subscriber back-and-forth.

Takeaway: No new signal content in the note itself; the regular **Macro Week Summary Notes** return next Friday. The video is the substance.